

NQ STRATEGY VAULT

Three strategies worth preserving, testing, and improving

PINNED OBJECTIVE: Extract what 10 successful traders collectively know, then build ONE executable NQ strategy that preserves their ideas.

Snapshot date: August 16, 2026

Why this PDF exists

This is a preservation document, not a declaration that one system is finished. It freezes the three strategies that emerged from the combined ChatGPT + Claude work so none of the methodology, rules, evidence, or unresolved problems are lost when the research moves forward.

1. Executive Snapshot

Strategy	Role	Current status	Key evidence
1. Samir 15m ORB	Benchmark / directional edge	Proven benchmark, regime-sensitive	Our 2016-Jun 2026: +122.82R, PF 1.10, DD -25.65R
2. NQ Failed Counterattack Continuation	Human ten-trader synthesis	Conceptually strongest; mechanical entry unresolved	5m delayed entry failed; 1m execution improved; later qualification identifies exceptional trend days
3. S5b Pressure Continuation v1.0 Proxy	Mechanical ten-trader proxy	Sole current mechanical survivor	Modern exact parity: 89 trades, +15.14R, PF 1.458, DD -7.27R

How they relate

- Samir ORB is the benchmark: it proves that early New York directional expansion can carry real information.
- Failed Counterattack Continuation is the discretionary synthesis of what the ten traders collectively taught: direction first, do not chase, let the opposite side attack, trade the failure, then leave the winner alone while effort keeps producing result.
- S5b is a mechanical OHLCV approximation of that synthesis. It is not the human strategy itself; it is the most reproducible proxy currently standing.
- The ORB + Collective Counterattack Management test is preserved under Strategy 2 as the important hybrid variant: enter the proven expansion, then use the collective logic to manage the inevitable counterattack.

Research discipline

A good backtest result does not overwrite the objective. Samir can be the best standalone benchmark without being the final strategy. S5b can survive mechanically without proving the discretionary Failed Counterattack methodology. The job is to learn what each result tells us and keep one coherent strategy path.

2. Strategy 1 - Samir 15-Minute Opening Range Breakout

Role: Benchmark and directional-state engine, not the final ten-trader synthesis.

Core idea

The first decisive break from a short New York opening range can set the day direction. The strength of this strategy is its simplicity: let the market reveal a side early, align with it, and avoid repeated decisions.

Executable version used in our benchmark

1. Build the 15-minute opening range from the first three 5-minute bars after 09:30 ET.
2. From approximately 09:45 to 10:30 ET, wait for the first decisive 5-minute close outside that opening range.
3. Require a directional breakout candle rather than a marginal wick-through; our benchmark used a body-quality filter so the close represented real travel.
4. Enter on the next 5-minute open in the breakout direction.
5. Initial stop belongs beyond the opposite side of the opening range.
6. One trade per day.
7. Hold to the regular-session close unless the stop is hit.

What our tests showed

Window	Trades	Net R	PF	Max DD
2016-Jun 2026 (our benchmark)	2,295	+122.82R	1.10	-25.65R
2024-Jun 2026 (our benchmark)	566	+43.87R	1.12	-16.46R
Claude ORB-15, 2024-Jun 2026	642	+53.3R	1.18	-17.5R
Claude ORB family, 2008-2023	3,885*	-116.3R	0.93	Era failure

**Claude historical row referenced the ORB-30 era table; his ORB family conclusion was that the opening-range edge was modern-regime concentrated. Exact implementation/window differences mean these rows are evidence, not direct apples-to-apples parity.*

What this strategy taught the project
The initial directional move has value. The mistake was assuming that because Samir won the standalone leaderboard, the entire project should become a pure ORB system. Instead, the ORB is best treated as a benchmark and potentially as a directional-state detector inside the collective strategy.

3. Strategy 2 - NQ Failed Counterattack Continuation

Role: The actual human synthesis of the ten traders. This is the methodology we do not want to lose.

The entire strategy in one sentence

Wait for direction. Refuse the first move. Let the pullback attack. Trade the failure. Follow pressure. Take one trade. Leave.

Chart and preparation

- Primary chart: NQ 5-minute for context and directional structure.
- Mark only: previous day high, previous day low, and the nearest overnight/session extreme that is realistically reachable.
- Keep the chart sparse. The marks are context, not automatic signals.

Methodology - step by step

1. Wait for direction

One side must clearly take control: consecutive directional closes, expansion after compression, opening-range break, or a meaningful structure break. The question is whether one side is getting paid for its effort.

2. Do absolutely nothing

Do not chase the initial move. No momentum FOMO. The first move is information; it is not automatically the trade.

3. Wait for the pullback

Let price rotate back toward the area that created the move, a prior range, or meaningful pre-marked liquidity. Shallow or deep pullbacks can be valid; complete loss of directional control is not.

4. Ask the core question

Did the countertrend side actually accomplish anything? For longs: are sellers still producing lower prices? For shorts: are buyers still producing higher prices? Activity by itself is not enough.

5. Trade the failure

The countertrend side pushes, but progress stalls. Short-term structure turns back toward the established direction. Original-side pressure returns and price responds. That is the entry event.

6. Stop where the thesis is wrong

The stop belongs beyond the pullback point that proves the countertrend side actually won. Never tighten the structural stop merely to make the position size or reward/risk look prettier.

7. One trade

One clean trade gets full attention. Do not convert one valid loss into five revenge trades.

8. Exit on thesis change, not discomfort

Stay while effort in your direction continues producing price result. Exit when structure flips AND opposing pressure successfully moves price. A wobble, ugly candle, or temporary opposite activity is not enough.

What each trader contributes

Trader	Contribution preserved in the synthesis
Waqar	Context, relevant liquidity, aggressive disqualification; a pattern alone means nothing.
Larry Williams	Compression -> expansion, conditions before prediction, patience, let trend develop.
Dave	Break -> meaningful pullback -> continuation; the pullback is where the opportunity lives.
Charlie Burton	Manage the market, not open P&L; do not sabotage valid winners.
Rajan Dhall	Simple trend alignment, pre-decided risk, one trade per day.
Samir Varmmer	Early directional break can reveal the day; opening-range expansion as information.
TJR	First move into obvious liquidity is information; failure + lower-timeframe confirmation matters.
Fabio Valentini	Effort only matters if price responds; pressure without result is failure/absorption.
David Hanlin	Cleaner structure, asymmetric winners, add/hold success rather than forcing high win rate.
Roger Banks	Overtrading/over-risking destroy accounts; low-frequency restriction survives.

Mechanical tests of the methodology

Variant	Window	Net R	PF / DD	Interpretation
Literal FCF, 5m confirmation	2016-Jun 2026	-27.27R	PF 0.95 / DD -41.83R	Too late; confirmation surrendered location.
Literal FCF, 1m execution + hold	2016-Jun 2026	+53.16R	Unstable; DD very poor	Lower-timeframe execution rescued expectancy but introduced fragility.
Literal FCF, 1m execution + hold	2024-Jun 2026	+50.70R	DD -30.98R	Modern promise, still not finished.
ORB + collective management	2016-Jun 2026	+96.92R	PF 1.16 / DD -21.22R	Less raw R than ORB; better PF and drawdown.
ORB + collective management	2024-Jun 2026	+34.46R	PF 1.16 / DD -9.98R	Smoother modern profile.

The tangible discovery

On the days that later satisfied the failed-counterattack condition, the original ORB entries were exceptionally strong: approximately +209.89R, PF 1.47 over 2016-2026 in the diagnostic sample. This is NOT directly tradable because the qualification occurs later; it is lookahead if used at the breakout. But it strongly suggests that the failed-counterattack phenomenon identifies unusually strong continuation days.

Current unresolved problem

How do we recognize that high-quality failed-counterattack day early enough to preserve the good entry location, without using future information and without waiting so long that the edge is gone?

4. Strategy 3 - S5b NQ Pressure Continuation v1.0 Proxy

Role: The current mechanical proxy of the ten-trader synthesis and the sole surviving mechanical family in Claude's corrected Round 1.

Exact mechanical specification

8. Use 5-minute RTH bars built from 1-minute data, 09:30-15:55 ET.
9. Opening balance (OB) = first six 5-minute bars, 09:30-09:59. Record OB high and OB low.
10. Direction latches on the first 5-minute close beyond an OB extreme: close above OBH = long state; close below OBL = short state.
11. For a long, define the directional leg from the session low up to the direction bar and then track the running leg high. Mirror for shorts.
12. Require a pullback depth between 25% and 75% of the directional leg. A retrace greater than 100% kills the day.
13. Failure = two consecutive bars that make no meaningful new progress against the established direction. Claude used a 1-point tolerance; mirror for shorts.
14. Resume + pressure must occur on the same bar: close beyond the prior bar extreme in the trend direction, directional candle body, and volume $\geq 1.2x$ rolling 12-bar mean (minimum 6 bars).
15. Enter on the next 5-minute open. No entries after the 11:30 bar.
16. Stop: beyond the recent pullback structure - minimum low of approximately the prior seven bars minus 2 points for longs; mirror for shorts. Minimum risk floor 5 points.
17. Exit: stop or 15:55 close. One trade per day.

Important

The constants above are mechanical implementation choices, not verbatim rules from the traders. S5b is a faithful proxy used to test the collective concept with OHLCV data. True Fabio-style bid/ask delta or footprint pressure was not available.

Current evidence

Test	Trades	Net R	PF	Max DD
Claude modern 2024-Jun 2026	89	+15.1R	1.46	-7.3R
ChatGPT independent modern rebuild	89	+15.14R	1.458	-7.27R
Claude historical 2008-2023	749	+10.2R	1.03	Not destructive
ChatGPT historical rebuild	741	+5.26R	1.016	Historical parity unresolved

Modern parity is effectively exact. Historical parity is not yet exact; the 8-trade discrepancy must be diffed before the historical result is treated as final.

Volume-threshold robustness

Volume threshold	Modern trades	Modern Net R	Modern PF
1.0x	155	+2.54R	1.04
1.1x	113	+0.48R	1.01
1.2x	89	+15.14R	1.46
1.3x	57	+14.87R	1.79
1.4x	38	+10.80R	1.90
1.5x	24	+10.96R	3.21

Interpretation: 1.2x is not a solitary magic peak in the modern sample; stronger participation continues to select fewer but higher-quality trades. However, this gradient does not persist cleanly in the older era, so it may be a modern NQ regime feature rather than a timeless constant.

Major red flag: winner concentration

Modern S5b produced about +15.14R, and the five best trades contributed roughly +14.65R - about 97% of net R. That may be natural for a trend/continuation system, but it makes the next question mandatory: does S5b identify outsized trend days better than comparable breakout/pullback mornings by more than chance?

5. How to Revisit These Later

If we revisit...	Do this first	Do NOT do this
Samir ORB	Re-test by era and current market; examine fixed-dollar MNQ sizing and trend-day distribution.	Do not crown it the final strategy just because raw R is highest.
Failed Counterattack	Focus on causal early recognition of failure and better entry location.	Do not add dozens of knobs or wait for so much confirmation that the move is gone.
S5b	Resolve the 8-trade historical parity gap, matched placebo, concentration, adjacent-cell sensitivity.	Do not size it from PF 1.46 alone or optimize the volume threshold after seeing results.

The strategy path that currently makes the most sense

18. Use Samir/early expansion as evidence that a directional state exists.
19. Use Failed Counterattack logic to determine whether the opposite side can actually reverse that state.
20. Use Fabio-style effort-versus-result logic to distinguish real opposition from pressure that accomplishes nothing.
21. Use S5b as the reproducible test harness for the idea, while recognizing it is only an OHLCV proxy.
22. If the day proves itself as a real continuation day, apply Charlie/Larry/Hanlin: stop over-managing and let the winner work.
23. Keep Rajan/Banks restriction: one clean trade, risk known before entry, no revenge sequence.

RESEARCH SEAM TO RESUME: Identify the rare morning when directional expansion survives a legitimate counterattack under unusually strong participation - early enough to preserve entry location, without lookahead.

6. Preservation Notes

- This PDF intentionally preserves both successful and failed variants. The failed versions tell us where the concept breaks mechanically.
- S1/Waqar standalone sweep-reject and S2/compression standalone families are not included as separate strategies here because both were killed in the corrected Round 1. Their useful ideas remain as components inside the collective synthesis.
- The old S1b headline (+47.4R / PF 1.66 / +\$134k) is RETRACTED due to gap-beyond-stop engine error and must never be reused.
- The current mechanical candidate is S5b. The current human/discretionary methodology remains NQ Failed Counterattack Continuation.
- The benchmark remains Samir ORB. Benchmark does not equal final answer.

END OF STRATEGY VAULT